



MONTHLY NEWSLETTER

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Monthly Commentary

Indian equity markets ended **CY 2025 near all-time highs**, reflecting resilience amid a challenging global environment. The **Nifty and Sensex closed the year above the key psychological levels of 26,000 and 85,000**, respectively. Performance, however, was uneven across market segments. **Large-cap stocks outperformed**, while midcaps and small caps struggled. The **Nifty Small cap 250 Index ended the year in the red**, making 2025 a particularly difficult year for small-cap investors.

Foreign Institutional Investors (FIIs) remained net sellers throughout the year, with net **outflows of nearly ₹1.7 trillion** in CY 2025. This sustained selling pressure was largely driven by **India's relative underperformance compared to other emerging markets**. Despite this, domestic participation provided stability to the market. Among sectors, **Metals, Automobiles, Banking & Financial Services, Telecom, and Oil & Gas** were the top performers, while **Realty, IT, Consumer Durables, Power, and Healthcare** lagged during the year.

Globally, **CY 2025 was a strong year for equities**. The **MSCI ACWI rose 22%**, while **emerging markets outperformed developed markets**, with the **MSCI EM gaining 34% in dollar terms**. China and Brazil stood out, with the **MSCI China up 31%** and **MSCI Brazil rallying nearly 50%**. In contrast, **MSCI India delivered a modest 3% return in dollar terms**, reflecting currency depreciation and relative underperformance. Among developed markets, **Japan, the UK, Germany, and France** posted strong double-digit gains. The **S&P 500 rose 16%**, while the **tech-heavy NASDAQ 100 surged 24%**, led by continued enthusiasm around **Artificial Intelligence**.

In the **commodities space**, precious metals delivered an exceptional performance. **Gold rose 75% in CY 2025**, while **silver recorded an extraordinary 168% year-on-year gain**, making it one of the best-performing asset classes globally. Precious metals are expected to remain supported in 2026 due to **central bank buying, falling US interest rates, geopolitical uncertainty, and shifting global dynamics**. Meanwhile, **crude oil prices softened and slipped below the \$60 per barrel mark**, reflecting easing demand and global growth concerns.

The **Indian Rupee weakened during the year**, pressured by a rising trade deficit, FII outflows, and uncertainty surrounding Indo-US trade negotiations. The INR breached the **₹90 per USD** mark and depreciated by **around 5% in CY 2025**.

On the monetary front, the **RBI cut repo rates by a cumulative 125 basis points** during the year. Long-term bond yields declined in the first half of 2025 and have since remained range-bound, with the **10-year G-Sec yield hovering around 6.6%**. Short-term yields also traded in a narrow range, with the **364-day Treasury Bill yield near 2.6%**. Inflation moderated meaningfully during the year, with **WPI inflation turning negative in the final two months**. While global rate cuts and easing inflation could allow the RBI to lower rates further in 2026, it will need to carefully balance **currency stability and growth objectives**.

India's macro fundamentals remained strong. **GDP growth surprised positively, with 7.8% growth in Q1 and 8.2% in Q2**, driven primarily by robust **private consumption and manufacturing activity**. The government's **GST rationalization measures** supported consumer sentiment and festive demand. Additionally, **current and trade account deficits narrowed**, and the government reaffirmed its commitment to meeting the **fiscal deficit target of 4.4%**.

Looking ahead, with **stable macro indicators, improving consumption trends, and a supportive policy framework**, the long-term outlook for Indian equities remains constructive. Investors should stay disciplined, maintain proper asset allocation, and continue investing through **SIPs**, which remain one of the most effective ways to navigate market cycles and build long-term wealth.

Market Round-Up

Domestic Equity Market: Market near all-time high

Sensex

▼ - 0.6% MOM

Nov 2025 85,707

Dec 2025 85,221

Nifty

▼ - 0.3% MOM

Nov 2025 26,203

Dec 2025 26,130

Nifty 100 (Large Cap)

▼ - 0.2% MOM

Nov 2025 26,738

Dec 2025 26,689

Nifty 500 (Broad Market)

▼ - 0.3% MOM

Nov 2025 23,933

Dec 2025 23,872

*Index values are closing prices on the last trading sessions of the respective months

Domestic Debt Market: Long Term and Short Term Yields harden

10 year G-Sec Yield* (%)

▲ 6 bps MOM

Nov 2025 6.53%

Dec 2025 6.59%

364 Day T-Bill Yield* (%)

▲ 11 bps MOM

Nov 2025 5.47%

Dec 2025 5.58%

Gold (INR per 10 grams)

▲ 5.2% MOM

Nov 2025 126,033

Dec 2025 132,640

Silver (INR per kg)

▲ 40% MOM

Nov 2025 164,052

Dec 2025 229,452

*Commodity prices are based MCX commodity closing spot prices on the last trading sessions

Dow Jones

▲ 0.73% MOM

Nov 2025 47,716

Dec 2025 48,063

Nasdaq 100

▲ 8.1% MOM

Nov 2025 23,366

Dec 2025 25,250

S&P 500

▼ - 0.04% MOM

Nov 2025 6,849

Dec 2025 6,846

Shanghai Composite

▲ 1.95% MOM

Nov 2025 3,889

Dec 2025 3,965

Systematic Withdrawal Plan versus IDCW (dividends)

Systematic Withdrawal Plan (SWP) is a mutual funds facility using which you can draw fixed amounts from your mutual fund investment at regular intervals (e.g. monthly, any other interval as specified by the AMC). SWP works by redeeming the required number of units at prevailing NAVs to meet your SWP cash-flows. The SWP will continue as long you have sufficient unit balance to meet your cash-flows. In this article we will compare SWP with IDCW option (dividends)

- Mutual fund dividends are paid out at the discretion of the fund manager and the asset management company (AMC). The fund may declare / increase the dividend payout rate or may even not pay dividends (IDCW) for a certain period depending on market conditions.
- In mutual fund systematic withdrawal plans (SWP), investors can get fixed cash-flows every month (or any other frequencies), as per their own specific needs. Unlike dividends, SWP provides fixed cash-flows to the investor till there is enough balance units to generate the SWP cash shows.
- SWP gives investors more control over their finances. In IDCW option profits made by the fund are distributed to the investor as IDCW payment or dividend. In SWP, you can withdraw according to your needs. If your SWP withdrawal is less than profit, then the profits remain invested in the scheme and gives you compounding benefits. You can get both fixed cash-flows and capital appreciation in SWP.
- However, if your withdrawal rate is high then you may end up with no balance units before the tenure of your SWP. Under SEBI regulations mutual fund dividends are paid only from the accumulated profits of the scheme. In prolonged bear markets, a scheme may stop paying dividends (IDCW). On the other hand, in SWP, you will have to redeem more units for the same SWP withdrawal every month when NAVs are falling.
- SWP is much more tax efficient compared to IDCW in equity funds or equity oriented. Withdrawals from equity funds made a year after investment is subject to long term capital gains taxation. Long-term capital gains up to Rs 1.5 lakh every year are tax free and taxed at 12.5% thereafter. Dividends paid by mutual funds are taxed in the hands of the investor at the tax slab rate of the investor.

What is an optimal withdrawal rate in SWP?

If you want your SWP to last for a long period of time, your withdrawal rate should not exceed the long-term average return of the fund. Some financial advisors recommend a withdrawal rate that does not exceed 6 – 7% of the investment amount, if you want fixed cash-flows and some capital appreciation. Financial advisors also recommend investors defer their SWP by a couple of years, if possible (a) to avoid exit load, (b) to avoid short term capital gains tax and (c) avoid sudden short-term volatility just when you are beginning your STP and let your investment appreciate a bit before you begin withdrawals.

Featured Insight: Why Doing Nothing Is Sometimes the Best Investment Decision

In investing, action often feels productive. Buying, selling, switching funds, reacting to news — all of it creates the impression that something meaningful is being done. But in reality, some of the most successful investment outcomes are achieved not through frequent action, but through **patient inaction**.

For long-term investors, doing nothing at the right time can be one of the most powerful — and difficult — decisions.

Markets move constantly. Headlines change every day. Predictions are made, revised, and contradicted within weeks. In this environment, the natural instinct is to respond — to protect gains, avoid losses, or chase the next opportunity. Yet history shows that frequent reactions often do more harm than good.

One of the biggest costs investors pay is not visible on statements — it is the **cost of poor timing**. Investors who try to move in and out of markets often miss recovery phases, resulting in lower long-term returns.

This happens because:

- Markets recover faster than investor confidence
- Fear peaks near market bottoms, not tops
- Re-entry usually happens after prices have already moved up

Volatility, while uncomfortable, is a normal part of equity investing. Short-term declines do not mean something is broken. When investors react to every dip or rally, they risk turning **temporary market movements into permanent financial damage**.

Another powerful reason “doing nothing” works is compounding. Compounding thrives on uninterrupted time. Every unnecessary exit weakens its effect — not just due to missed recovery days, but also because of:

- Exit loads
- Capital gains taxes
- Loss of momentum when re-entering

There is also a strong behavioural angle behind excessive action. Investors often feel compelled to “fix” portfolios during uncertain periods, even when the original investment rationale remains intact. This leads to:

- Over-switching between funds
- Chasing recent outperformers
- Increasing portfolio risk instead of reducing it

Doing nothing does not mean ignoring your investments. It means **avoiding impulsive decisions**. A disciplined approach involves:

- Reviewing portfolios periodically (not daily)
- Checking alignment with long-term goals
- Rebalancing only when asset allocation drifts meaningfully

It is especially important to recognise when action is unnecessary. If:

- Your investments are aligned with long-term goals
- SIPs are running consistently
- Asset allocation matches your risk comfort

then short-term market noise does not require intervention.

January often tempts investors into action. A new year brings fresh predictions, “best fund” lists, and bold forecasts. But investing success rarely comes from starting something new every year — it comes from **continuing what already works**. Sometimes the smartest move is to stay invested, stay disciplined, and let time do the heavy lifting.

In a world that rewards constant activity, patience becomes an advantage. And in investing, **doing nothing — when done consciously — can be the smartest decision of all.**

In investing, restraint often creates more value than reaction — patience remains an underrated edge.

Mutual Fund Category Returns Monitor - Equity Trailing Returns

Category Name	Returns as on - 05-01-2026 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Equity: Thematic-International	0.58	2.16	4.57	13.14	1.01	22.52	17.41	9.67	11.54	10.72
Equity: Thematic-Transportation	3.6	2.52	4.27	14.91	2.26	17.5	27.55	23.02	13.29	20.79
Equity: Sectoral-Banking and Financial Services	2.14	1.24	6.99	5.25	1.15	16.28	16.6	15.53	14.71	15.01
Equity: Thematic-Energy	3.17	4.15	3.72	2.96	1.39	10.43	19.02	20.73	17.79	9.74
Equity: Thematic-PSU	3.77	3.78	4.49	3.6	1.93	8.1	28.25	28.5	15.7	14.58
Equity: Large Cap	1.43	0.5	4.35	2.57	0.71	6.44	15.65	14.21	13.12	13.43
Equity: Contra	1.66	1.33	5.01	3.1	0.85	5.05	20.7	20.6	16.65	15.42
Equity: Thematic-Quantitative	1.92	1.6	5.16	3.14	0.96	4.6	18.3	15.9	15.2	11.46
Equity: Thematic-Others	1.94	1.72	3.79	1.88	1.1	4.44	18.29	18.85	14.44	11.5
Equity: Value	1.8	1.45	4.54	2.8	0.93	4.35	19.37	18.76	14.62	15.58
Equity: Focused	1.56	0.85	3.71	2.21	0.93	4.35	16.78	15.64	14.0	14.84
Equity: Dividend Yield	1.57	1.1	4.11	2.63	0.8	4.33	19.81	19.34	15.06	14.61
Equity: Large and Mid Cap	1.59	0.87	3.52	1.84	0.87	3.74	18.99	18.05	14.93	14.05
Equity: Thematic-ESG	1.66	0.25	3.92	1.25	1.05	3.39	15.38	14.11	13.11	14.38
Equity: Thematic-Manufacturing	2.61	2.18	1.31	2.01	1.3	2.7	23.19	21.72	15.34	10.05

Category Name	Returns as on - 05-01-2026 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Equity: Flexi Cap	1.5	0.57	2.89	1.65	0.8	2.41	17.02	15.84	14.26	13.65
Equity: ELSS	1.52	0.66	3.13	1.09	0.81	2.39	17.09	16.14	14.29	14.52
Equity: Thematic-Special-Opportunities	1.9	1.39	3.47	3.87	0.79	1.99	20.58	17.74	0.0	6.64
Equity: Multi Cap	1.62	0.81	2.64	1.12	0.85	1.79	19.2	18.91	14.94	14.55
Equity: Mid Cap	1.66	0.97	2.93	1.56	0.97	1.67	21.98	20.81	16.15	17.78
Equity: Thematic-Business-Cycle	1.81	1.03	2.62	1.29	1.09	1.17	17.91	19.59	13.57	12.11
Equity: Thematic-MNC	1.4	0.86	2.05	2.42	0.83	0.76	12.73	12.12	9.74	13.19
Equity: Thematic-Innovation	1.02	0.18	1.11	2.69	0.74	0.42	20.61	16.11	0.0	13.4
Equity: Sectoral-Infrastructure	2.32	1.94	0.78	-0.99	1.43	-0.74	22.96	24.91	15.75	12.22
Equity: Thematic-Consumption	0.91	0.06	-0.21	1.59	0.2	-1.07	16.44	16.08	14.69	10.1
Equity: Sectoral-Pharma and Healthcare	1.1	-0.77	0.8	-1.55	0.63	-3.6	22.25	14.62	11.94	13.23
Equity: Small Cap	1.94	1.35	-0.02	-2.22	1.13	-4.68	19.67	22.41	16.49	15.4
Equity: Sectoral-Technology	-0.71	-0.75	6.01	-0.03	0.2	-5.77	17.88	15.99	17.21	10.68
Equity: Sectoral-FMCG	-3.44	-4.38	-4.87	-4.61	-3.93	-6.29	5.63	10.56	10.82	15.3
Equity: Thematic-Active-Momentum	2.29	2.3	3.99	0.48	0.82	-16.57	0.0	0.0	0.0	9.6
Equity: Thematic-Multi-Sector	3.68	3.45	6.49	3.03	1.86	-17.26	0.0	0.0	0.0	-16.41

Returns Range:

Returns < 100 to >= -5 Returns < -5 to >= -8 Returns < -8 to >= -10 Returns < -10 to >= -15 Returns < -15 to >= -20 Returns < -20
Returns > 0 to <= 5 Returns > 5 to <= 8 Returns > 8 to <= 10 Returns > 10 to <= 15 Returns > 15 to <= 20 Returns > 20

Mutual Fund Category Returns Monitor - Hybrid Trailing Returns

Category Name	Returns as on - 05-01-2026 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Hybrid: Multi Asset Allocation	0.8	2.24	6.26	9.4	0.8	16.09	18.2	16.67	13.47	14.41
Hybrid: Arbitrage	0.18	0.57	1.6	2.82	0.13	6.15	6.83	5.6	5.69	5.55
Hybrid: Equity Savings	0.48	0.36	1.99	2.85	0.26	6.01	10.18	8.94	8.14	7.83
Hybrid: Conservative	0.36	0.14	1.37	1.66	0.15	5.74	8.97	8.2	7.74	8.61
Hybrid: Aggressive	1.13	0.6	2.74	1.94	0.6	5.07	14.9	14.06	12.18	12.91
Hybrid: Dynamic Asset Allocation	0.89	0.32	2.8	2.0	0.45	4.99	12.2	10.53	10.12	10.12
Hybrid: Balanced	0.76	0.13	1.74	1.93	0.41	4.72	0.0	0.0	0.0	12.66

Returns Range:

Returns < 100 to >= -5	Returns < -5 to >= -8	Returns < -8 to >= -10	Returns < -10 to >= -15	Returns < -15 to >= -20	Returns < -20
Returns > 0 to <= 5	Returns > 5 to <= 8	Returns > 8 to <= 10	Returns > 10 to <= 15	Returns > 15 to <= 20	Returns > 20

Mutual Fund Category Returns Monitor - Fund-of-Funds Trailing Returns

Category Name	Returns as on - 05-01-2026 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Fund of Funds-Domestic-Silver	2.75	32.44	60.05	114.26	4.11	159.33	48.7	0.0	0.0	62.84
Fund of Funds-Domestic-Gold and Silver	0.24	17.76	33.27	66.04	2.56	104.38	38.73	0.0	0.0	36.11
Fund of Funds-Domestic-Gold	-0.1	5.61	15.99	38.89	1.92	72.38	32.82	19.93	16.76	25.66
Fund of Funds-Overseas	0.48	1.43	4.07	17.95	2.0	30.37	23.76	11.09	11.52	12.3
Fund of Funds-Domestic-Hybrid	0.75	1.4	4.65	5.66	0.69	11.13	15.6	13.45	11.58	11.29
Fund of Funds-Domestic-Debt	0.27	0.08	1.36	2.21	0.12	7.85	7.87	6.44	7.32	6.83
Fund of Funds-Income Plus Arbitrage	0.08	0.28	1.33	2.45	0.03	6.86	9.35	8.22	8.03	4.83
Fund of Funds-Domestic-Equity	1.57	0.79	2.81	2.69	1.12	6.37	18.24	18.74	15.17	9.86

Returns Range:

Returns < 100 to >= -5	Returns < -5 to >= -8	Returns < -8 to >= -10	Returns < -10 to >= -15	Returns < -15 to >= -20	Returns < -20
Returns > 0 to <= 5	Returns > 5 to <= 8	Returns > 8 to <= 10	Returns > 10 to <= 15	Returns > 15 to <= 20	Returns > 20

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